His triumph was, however, short-lived. Shuja's haughty manner and insistence on the old forms of court etiquette alienated the tribal leaders of the area, so that before long 'the premature exhibition of his exalted notions of regal dignity led to a battle between him and his inviters'.[35] At this critical moment, a shell landed in the Shah's gunpowder store, setting off an enormous explosion which killed large numbers of his troops; 'a huge plume of smoke rose into the sky', remembered Shah Shuja, 'and legs, hands, arms and bodies were scattered in all directions. The enemy pressed their attack, and we were forced to take shelter in the mountains of the Khyber.'[36]

Yet again, Shuja had to retreat. Driven back by the now increasingly powerful Barakzai brothers, he had no option but to return to the territories of the Company, losing more of his troops during a sandstorm on a reckless summer crossing of the desert shales between Shikarpur and Jaisalmer. He also failed to repay the bankers of Sindh, who vowed never to lend to him again. As Mirza 'Ata put it, quoting a Persian proverb, 'those once bitten by a snake fear even a twisted rope'.[37]

By October 1818, after a pilgrimage to the great Sufi shrine in Ajmer, and a visit to the Mughal Emperor Akbar Shah II in Delhi, Shuja returned to Ludhiana to plot his next move.

The Shah now had no option but to accept that a long period of exile lay ahead, and, with more resignation than pleasure, he embraced the inevitability of setting up his court-in-exile in Ludhiana.

There was, however, to be no compromise on the Shah's ceremonial, and his durbar was to be maintained in its full theatrical entirety. Remarkably, thanks to the intervention of Ochterlony, the Company was prepared not just to tolerate this pantomime, but to finance it annually to the tune of 50,000 rupees. Shuja and his entourage moved to more substantial quarters, and visitors to the dusty bazaars of Ludhiana were treated to a lavish piece of political theatre: 'His Majesty might be seen almost daily in the vicinity of Loodhiana in regal state,' wrote the American soldier of fortune Josiah Harlan. 'The throng of a long procession proclaimed the approach of the King, shouting to the listless winds and unpeopled highways, as though he was in the midst of obedient subjects, with the deep and sonorous intonation of self-important command, where there was none to obey.'[38]